

Undue Credit



Vipul Shah

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I never felt the use for a credit card a decade ago. The scene has changed dramatically since; I now send greeting cards to my relatives in the U.S. created from the pictures I have shot with my digital camera. I usually upload the images on a Web site, specify the kind of card I want and pay a dollar or two for printing or stamping, and mailing. My U.S.-based relatives get my card by post in three days flat. All possible due to credit cards.

However, there is still a nagging fear that if credit card numbers and expiry dates fall into the wrong hands, it can create havoc for the owner or for the bank that has issued it. Last month, the systems of an U.S.-based credit card processor company—Data Processor International—were hacked, and eight million credit card numbers were stolen. This is around 2.7 per cent of America's total population. What happens to these stolen numbers? Most end up in the hands of Eastern Europe-based mafias. No prizes for guessing the outcome then.

In case of such frauds, U.S.-based banks reverse the disputed charges without asking questions. However, in India you may have to shell out a few hundred rupees for a new card. Most Indians, thus, are wary of using credit cards to shop online. Major portals offer COD (Cash On Delivery) to get around this fear.

To counter this fear, American Express was the first to introduce a clear plastic card, called the Blue Card, in 1999. Since then, the design has been copied by many banks for their credit cards. The Blue Card offers you the choice of never using a real card number and expiry date. It is a smart card with a microchip on it (like GSM phone cards), with 32 KB memory for small applications and data, and also comes with a free card reader (serial port), and software on CD.

Using the card, one can generate new disposable single-use card numbers with expiry dates (usually within 2 months)—this is called Private Payment. Once you use this number to make a purchase

either online, by phone or by mail, it can't be used again. It stays active only for any charge reversals/credits.

VISA and MasterCard have similar chip-based smart card plans called EMV, which stands for 'Euro-VISA-MasterCard'. In the future, they plan to convert point-of-sale terminals that verify your card, to be able to read these chips.

The tamper-proof microchip can contain your picture, your thumb impression or any other authentication detail. Visa has also started a 'Verified by VISA' plan for online purchases with a user-selected password. GemPlus, Oberthur and SchlumbergerSema are major suppliers of plastic cards to credit and debit card companies worldwide, and are now ready with their SmartCard products. Surprisingly, mobile phone companies and security companies are their major customers.

The mobile phone is already being used for making payment in countries such as Finland. You just have to dial a number listed in a vending machine, or an advertisement, and the amount is debited to your mobile phone bill. In mobile phone-based payments, just having a number is not enough. You need to actually have the phone in your control to spend money from it.

PayPal is another pioneer that is stealing the thunder from credit card companies. You don't have to give any vital information to open a PayPal account. PayPal also offers a 'virtual debit card' to its verified users in the U.S.

Eventually, the future of the payment industry lies in biometric technologies. Smart cards with a 512 KB flash memory has already been introduced by SchlumbergerSema. These cards can be read by terminals/card readers, and then verified against the actual thumb impression or face or voice or iris.

India should take the cue, and leverage the advantage that these technologies offer. Else, for lack of a will (and not technology), we will find consumers reverting to paying by cash. ■

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